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WISE

PE Report

EXECUTIVE SUMMARY

Wise plc has established itself as a global leader in cross-border payments and multi-currency accounts, supported by transparent pricing, proprietary infrastructure, and a trusted brand. The company serves over **15.6 million customers and processes more than £145 billion annually.** Revenues have grown from £421 million in FY21 to £1.65 billion in FY25, while **EBITDA margins have expanded to 33.1 percent.** Strong free cash flow generation, consistent profitability, and disciplined cost control underpin its financial resilience.

The business model is diversified across three complementary segments: **personal transfers, SME and business accounts, and Wise Platform**. These reinforce each other, enabling scale, liquidity, and recurring flows. Strategic partnerships with UniCredit, Raiffeisen, Standard Chartered, Itaú Unibanco, Morgan Stanley, Google, and multiple fintechs have strengthened Wise's distribution reach and institutional relevance.

The addressable cross-border payments market exceeds $150 trillion annually, with technology-enabled volumes expanding at 15 to 20 percent per year. **Wise's cost-efficient infrastructure**, based on local liquidity pools, enables faster settlement and materially lower fees than banks and legacy providers. This competitive advantage has supported continued share gains despite rising competition from Revolut, PayPal, Remitly, and Airwallex.

Financial performance reflects both scale and efficiency. **ROE of 32.6 percent and ROCE of 34.4 percent in FY25** highlight effective capital deployment, while free cash flow of approximately £487 million demonstrates strong earnings conversion. The company maintains a solid balance sheet and the capacity to fund expansion and product development.

From an investment standpoint, a leveraged buyout structure provides an attractive profile. **A 75 percent equity stake under a 60:40 debt-to-equity mix** is projected to deliver a **five-year IRR of around 23 percent and a MOIC of 2.8x**, supported by revenue growth, margin expansion, and systematic deleveraging. Growth opportunities include entry into India, Africa, and Latin America, further penetration of SME and platform segments, and new services such as embedded lending, premium subscription plans, and a potential UK banking license.

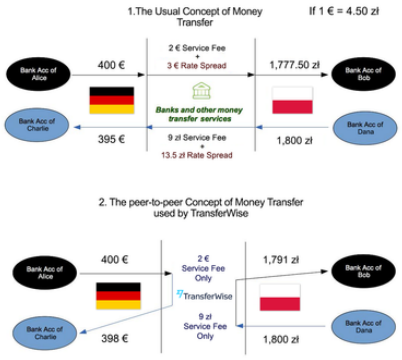
Key risks include regulatory developments across multiple jurisdictions, competitive pricing pressure, and elevated leverage. These are partially mitigated by Wise's compliance track record, diversified revenue base, and progress toward governance reforms, including transition to a one-share-one-vote structure.

Looking ahead, the most credible exit route is a US IPO, where valuation multiples for high-growth fintechs are structurally higher than in London. A re-rating in US markets, supported by Wise's proven growth and profitability, offers significant potential upside.

COMPANY ANALYSIS

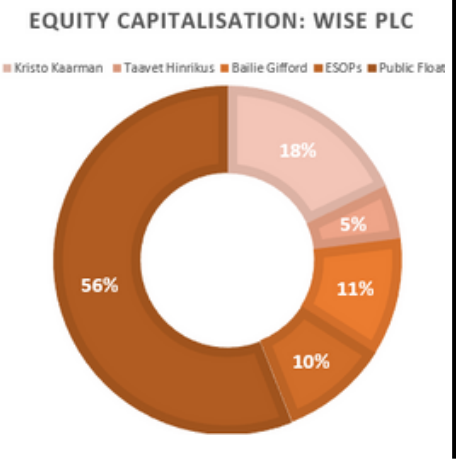
Business Description

Wise plc is a London-listed payments technology company specialising in low-cost cross-border transfers and multi-currency accounts for retail and SME customers. The company operates a transparent pricing model (mid-market FX rate + fees) and generates revenue through transfer fees, card/FX usage, interest income on customer balances, and its B2B product, Wise Platform. Wise processed over £118bn of flows in FY24 across 15.6m customers, generating c.£1.2bn in revenue. While 65% of revenue is derived from transfers, growth is accelerating in multi-currency accounts, cards, and enterprise partnerships. With increasing regulatory licensing and potential banking capabilities, Wise is positioned to scale its addressable market while expanding margins through higher engagement and platform adoption.



Source: Market Screener

WISE Personal	WISE Business	B2B Infrastructure
Serves retail customers by enabling low-cost, transparent international transfers, multi-currency accounts, and debit cards. With over 15 million users, the service has become a trusted alternative to banks, offering competitive FX rates and seamless access to over 40 currencies.	It extends its capabilities to SMEs and enterprises, providing accounts to manage payroll, supplier payments, and international collections. Its integrated tools help businesses reduce transaction costs, improve cash flow visibility, and expand globally without the burden of traditional banking fees.	Through its API-driven infrastructure, Wise powers cross-border payment capabilities for banks, fintechs, and large corporates. This "embedded finance" model allows partners to integrate Wise's technology directly into their offerings, expanding reach while creating a scalable, recurring revenue stream.



Card Payments

UPI / Real-Time Payments

Cross-Border Transactions

SME Financing

KYC / Identity Verification

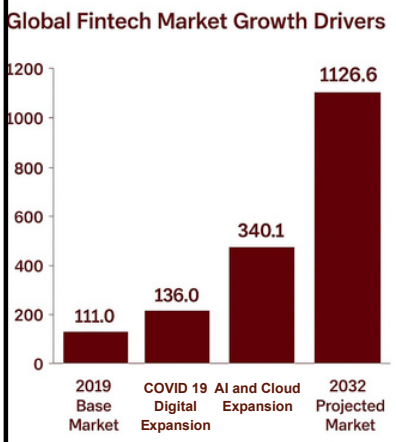
Fraud Detection & Data Security

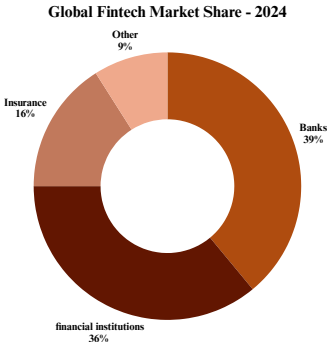


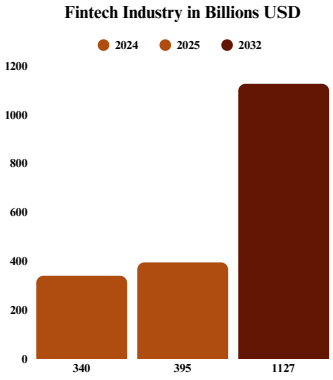
Recent Key Developments

Sep 01: WISE Considers applying for UK Banking license
Aug 27: WISE Executives sell GBP 335000 worth in shares
Aug 01: AlphaValue/Baader Europe Downgrades Wise to "reduce"
Jul 28: Wise Shareholders Approve Move to US Stock Exchange(Jul 28)
Jul 17: Q1 results announced, increased underlying income
Apr 14: Q4(FY25) results announced sharp decline in take rate.
Feb 15: Wise Added to S&P Global 1200 and S&P Europe 350

INDUSTRY OVERVIEW







The global fintech industry exhibited a robust CAGR of 16.2 percent, while fintech startups saw growth of around 21 percent year on year. India's fintech startups raised approximately USD 1.9 billion in 2024, marking it as the third-largest fintech funding destination globally, although funding fell by 33 percent from the previous year. Investment distribution by region in fintech during 2024 shows North America accounting for around 60 percent of global fintech investments, Europe and EMEA accounting for around 28 percent, and Asia Pacific accounting for about 12 percent.

COVID-19 Accelerated Digital Adoption and Became a Turning Point for Fintech Growth

The COVID-19 pandemic accelerated the global fintech industry by boosting demand for digital financial services. Valued at about USD 111 billion in 2019, the sector grew to nearly USD 136 billion by 2021 as lockdowns drove adoption of digital banking, mobile wallets, and contactless payments. This shift made fintech a mainstream alternative to traditional banking and laid the foundation for its current double-digit CAGR.

Adoption of AI and Cloud Computing in Fintech Is Driving Strong Market Expansion

The global fintech market was valued at USD 340.10 billion in 2024 and is projected to grow to USD 1,126.64 billion by 2032. This growth is fueled by the use of AI and machine learning, helping fintech firms improve fraud detection, customer service, credit scoring, and personalization. Cloud computing adds to this by giving them scalable, low-cost infrastructure to quickly build and roll out new solutions.

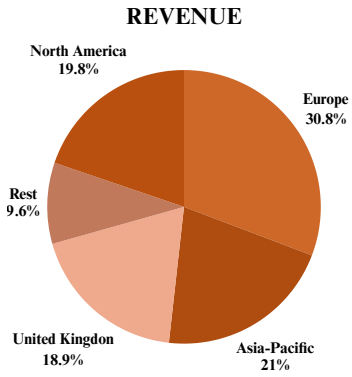
Security Risks and Data Privacy Concerns Are Key Constraints on Fintech Expansion

Fintech firms face rising cybersecurity risks, with the global average cost of a data breach at 4.44 million dollars in 2025, down from 4.88 million in 2024 but still one of the highest among industries. In the United States, breach costs climbed to a record 10.22 million dollars in 2025, while in India the average cost rose to about 2.7 million dollars, up 13 percent from the previous year. These figures show that despite some global improvements, regional vulnerabilities and third-party exposures continue to impose heavy financial pressures on fintech companies

BUSINESS SEGMENTS :

Digital Payments	Lending & Credit	Investments	Insurance	Cyber Security
• Cross border Transactions • Mobile Wallets • UPI/ Real Time payments • Card Payments	• Digital Financing • P2P lending • Buy now Pay later • SME financing	• Online Brokerage • Robo-Advisors • Crypto & Digital Assets • Neobanks	• Health/ Life/ Auto Insurance Tech • Claim Management Portfolios	• KYC • Fraud Detection • Identity Verification • Data Security

BUSINESS OVERVIEW

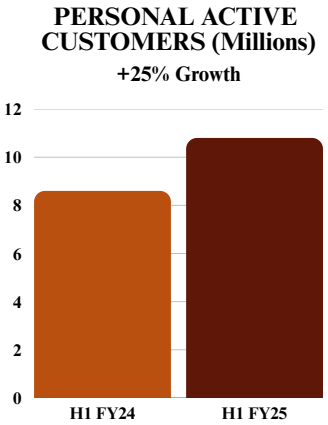


SUBSIDIARIES

TINV Europe AS (Wise Assets Europe AS):
Established in Estonia in October 2022 as an investment firm subsidiary. Licensed to execute and hold securities on behalf of clients. Reported revenue of about €935k in FY2023–24, with no material profit disclosed. Created to support the Wise Assets product and diversify the business beyond payments.

Wise Europe SA:
Headquartered in Belgium and regulated by the National Bank of Belgium. Functions as Wise's licensed payment institution for EU e-money issuance and cross-border transfers. Separate profit figures are not disclosed, as financials are consolidated at group level. Serves as the core vehicle for European operations and regulatory compliance across the EU.

PARTNERSHIPS

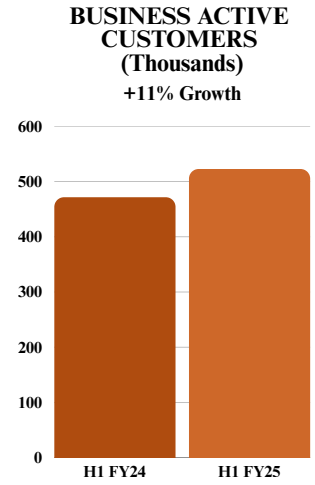


Europe

Partnership with UniCredit: Announced July 2025; Wise Platform integrated for foreign-currency payments. Expands access to UniCredit's large retail base across Europe. No separate financials, but distribution scale significant.
Agreement with Raiffeisen Bank International (May 2025); cross-border solution rolled out across 11 CEE markets. Strengthens Wise presence in Central and Eastern Europe.

North America

Partnership with Morgan Stanley (Dec 2024); Wise Platform powering international transfers for corporate and wealth clients. Expands reach into high-value institutional segments.
Collaboration with Google (Aug 2025); Wise included in Google's new remittance experience. Provides access to U.S. remittance users via Google Wallet and Search.



Asia & Middle East

Integration with Standard Chartered (Nov 2024); Wise rails embedded in SC Remit across multiple Asian and Middle Eastern markets. Supports 21 currencies with transparent FX.
Work with Bank Mandiri in Indonesia; enables local cross-border services. Provides entry into major Southeast Asian market.

Latin America

Partnership with Itaú Unibanco (2025); instant foreign-currency payments through Brazil's largest private bank. Significant corridor potential from BRL flows.
Pacific
Integration with ProSpend in Australia (2024); Wise rails embedded for supplier payments and multi-currency balances. Adds recurring B2B flows in ANZ mid-market.

Global B2B Platforms

Partnerships with **Deel, Payhawk, Webexpenses, Brex,** Ramp, and others. Wise Platform powering payroll, expense, and accounts payable functions. Provides sticky, high-frequency B2B flows.

COMPETITIVE POSITIONING

Consumer Cross-Border Transfers

Wise has established itself as a **leading digital-first remittance provider**, known for transparent mid-market FX rates, low fees, and fast transfer speeds. It competes with incumbents such as **Western Union** and **MoneyGram**, which continue to dominate cash-based corridors, as well as newer players like **Remitly**, **Revolut, PayPal/Xoom, and Atlantic Money**. While Western Union and MoneyGram have the advantage of extensive physical agent networks, their high fees leave room for Wise to capture price-sensitive digital customers. Remitly focuses heavily on migrant remittance corridors, Revolut integrates transfers as part of a broader financial super-app, and Atlantic Money is challenging Wise directly with a **fixed-fee model.** Wise's edge lies in cost transparency, proprietary payment rails, and strong brand trust among digital-first users. The main challenges include **limited presence in cash-pickup markets**, **ongoing pricing pressure** from low-cost entrants, and the need to **sustain efficiency gains to maintain margins.**

SME / Business Payments

Wise has built a **strong presence in SME and freelancer payments** through its multi-currency accounts, business debit cards, and low-cost cross-border transfers. The main competitors are **Payoneer,** which is deeply embedded in freelancer and marketplace payouts; **Airwallex**, which has positioned itself as an API-first global account provider; **Nium,** which enables real-time payouts and card issuance; and **traditional banks,** which still control a significant share of SME flows despite being expensive and slow. Wise differentiates itself by combining a consumer-grade user experience with global reach and regulatory coverage, while also offering pricing that is far more competitive than banks. Its biggest advantage is in the **"prosumer"** segment—freelancers, small businesses, and startups who are underserved by incumbents. However, challenges remain: Payoneer has strong marketplace relationships, **Airwallex is scaling quickly in Asia**, and **traditional banks still hold customer trust** for larger SMEs. Wise must also **defend its margins as competition in the SME segment intensifies.**

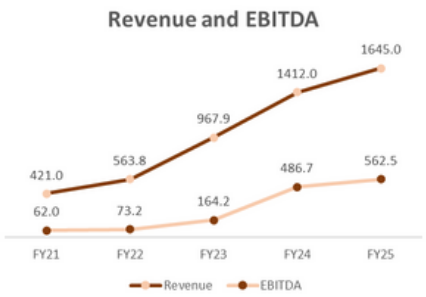
Platform / Partnerships (Wise Platform)

Wise Platform has become a strategic growth driver by embedding its infrastructure into banks, neobanks, and fintech platforms across regions. Major partnerships include UniCredit and Raiffeisen Bank in Europe, Standard Chartered in Asia, Morgan Stanley and Google in the U.S., and Lunar in the Nordics, alongside fintech partners like **Deel and Payhawk.** The competitive landscape includes **Currencycloud** (Visa-owned, offering B2B FX APIs), **Thunes** (remittance APIs for emerging markets), **Airwallex** (enterprise API solutions), and traditional correspondent banks. Wise's edge lies in its ability to combine retail, SME, and platform flows within a single global network, supported by proven compliance credibility and a growing roster of high-profile partners. Challenges include **increasing competition from other API providers that may undercut pricing,** the risk of **banks developing their own rails**, and **regulatory changes such as EU PSD3 and UK** safeguarding rules that could increase operational costs and reduce partner economics.

COMPETITORS :

Consumer Cross Border Transfers	SME/ Business Payments	Platform/ Partnerships (Wise Platform)
Western Union, MoneyGram, Remitly, Revolut, PayPal	Airwallex, Payoneer, NIUM	Currencycloud, Thunes

HISTORICAL FINANCIAL



Revenue and EBITDA

Wise Plc has delivered impressive growth over the past five years, with **revenue climbing from £421 million in FY21 to £1,645 million in FY25**. **EBITDA also surged nearly ninefold** during this period. The sharpest gains came between FY22 and FY24, driven by **rising transaction volumes and better operating scale**. As the company expanded, its EBITDA margin improved too, showing stronger cost efficiency. However, **in FY25, EBITDA growth didn't keep pace with revenue**, hinting at **higher reinvestments or rising expenses.** Overall, Wise's journey reflects strong expansion and a solid path toward sustained profitability.



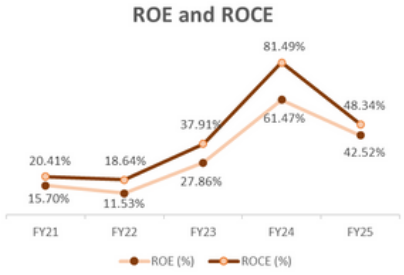
Cost Analysis

In FY25, Wise Plc showed **strong financial performance**, earning **high revenue while keeping costs under control**. The company managed its **operating expenses and taxes efficiently**, which helped it achieve a **solid net income of 416.7 million GBP**. This demonstrates that Wise can t**urn its revenue into profit effectively**, showing both **operational strength and smart financial management**. Overall, the results highlight that the company is stable, profitable, and **well-positioned for future growth**. Wise's balanced cost structure and solid earnings reflect a healthy business that can continue to expand and create value.



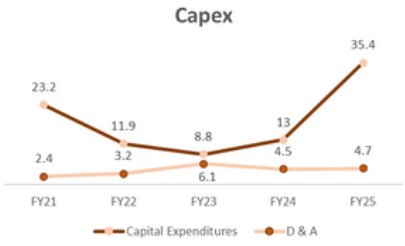
CFO to Revenue

Wise's cash flow from operations compared to revenue shows it generates **steady cash from sales**. It was very strong at **45.68% in FY21, dropped to 12.20% in FY23** due to growth spending, then improved to 32.59% in FY24 and remained **healthy at 25.57% in FY25**. This shows that Wise **balances growth and cash generation effectively.** Overall, the company maintains strong operational efficiency and can support expansion without cash stress.



ROE and ROCE

Wise Plc has delivered strong improvement in performance over the last five years. **ROE increased from 15.7% in FY21 to a peak of 61.5% in FY24**, before normalizing to **42.5% in FY25**. **ROCE followed a similar trend, rising from 20.4% to 81.5%** and later **settling at 48.3%**. These results highlight **efficient resource utilization, improved productivity, and a solid foundation for sustained value creation**.This shows that Wise PLC is strong and ready to grow even more in the future.



Capex

Wise Plc's capital expenditure declined from **$23.2M in FY21 to $8.8M in FY23**, before recovering to **$35.4M in FY25,** reflecting a **renewed focus on strategic investments.** Depreciation & Amortization steadily increased from $2.4M to $4.7M over the same period, indicating consistent asset utilization. The widening gap between Capex and D&A suggests **potential future depreciation pressures and capacity expansion.** Overall, the trend points to a shift from consolidation towards growth-oriented investment.

INVESTMENT THESIS

Market Leader in Cross-Border Payments

Wise operates in a cross-border payments market of over USD 850 billion in personal remittances and USD 20 trillion in wider transactions. The company serves more than 11 million active customers and processes around 150 billion GBP annually, giving it a **strong position among digital-first providers.** With an **average fee of 0.6 percent compared to the global average of 6.2 percent**, Wise delivers significant cost savings and achieves high customer satisfaction. As digital remittances grow at a 15 - 17 percent CAGR through 2030, Wise is well placed to gain market share.

Scalable and Cost-Efficient Model

Wise relies on local liquidity pools instead of SWIFT, enabling about **60 percent of transfers to arrive instantly and over 90 percent within 24 hours**. The system minimizes infrastructure costs while improving speed and reliability, giving Wise a structural cost edge. With two-thirds of customers acquired through referrals, growing volumes quickly translate into higher operating margins.

Favorable Industry Tailwinds

The **rise of digital payments, e-commerce globalization, cross-border SME trade** and remote work trends are accelerating demand for seamless multi-currency solutions. Traditional banks face regulatory and operational constraints that prevent them from competing effectively on cost or speed, providing Wise with a structural advantage. The addressable market continues to expand rapidly, supporting 15 to 20 percent annualized growth prospects. In addition, **increasing adoption of online marketplaces, growth in freelancer and gig-economy payments and rising cross-border capital flows further strengthen demand for low-cost, real-time money transfer platforms**. With its established brand, global liquidity network and proven technology stack, Wise is well placed to capture a disproportionate share of this expanding opportunity set, translating favorable industry tailwinds into sustained revenue and margin growth.

Stock and Valuation Context

Wise PLC trades at a discount to global fintech peers despite strong growth and profitability. **In FY2025, revenue rose 15% to £1.2 B, active customers grew 21% to 15.6 M**, and underlying profit before tax increased 17% to £282 M, with margins at 21%. Trading at an EV/EBITDA of 18.6x versus Adyen's 28x, Wise offers a compelling entry point. With 15 - 20% expected medium-term income growth and ongoing scale and product expansion, the company has significant upside potential through multiple expansions.

Investment Outlook

With its market leadership in cross-border payments, **structurally efficient cost model**, and exposure to favorable digital payment trends, Wise is positioned to sustain double-digit growth while delivering strong profitability. The stock trades at a discount to peers despite **33% EBITDA margins and 32% ROE**, offering an attractive entry point. Due to these reasons, the **stock is worth buying**, as Wise combines scale, margin expansion, and consistent cash generation with significant medium-term upside potential through multiple levers of growth.

Stock Information

CMP (Sep 11, 2025)	£1,112
Market Capitalisation	£11.52 billion
Outstanding Shares	1.03 billion
Free Float	54.12%
Revenue	£1.65 billion
EBITDA Margin	33.14%
ROE (TTM)	32.56%
ROCE	34.39%
P/E Ratio (TTM)	28.54
52-week High/Low	£1,170 / £810
Beta	0.75

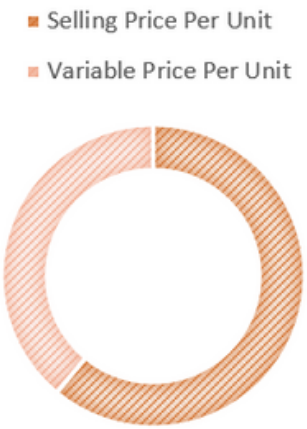
FUND'S BASE CASE PROJECTION (5-YEAR)

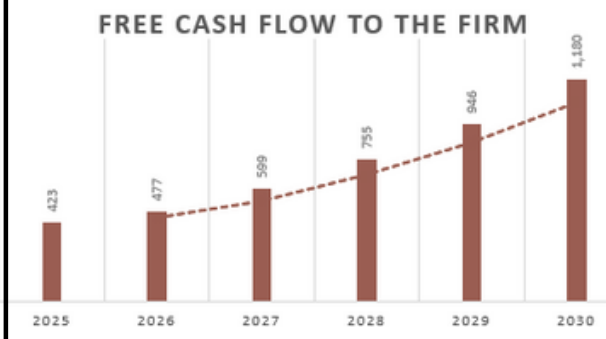
WISE's future performance will be driven primarily by the trajectory of its Unit Economics KPIs—acquisition efficiency, retention, and ARPU—while capital structure decisions, particularly equity or debt infusion, will influence growth velocity. We will assess financial projections through both a traditional DCF framework and a Unit Economics stack-growth model, stress-testing scalability and margin sustainability. Finally, we will evaluate how incremental capital could accelerate topline growth and unlock upside beyond the base case through adjacent products, cross-border synergies, and deeper customer monetization.

Bottom-Up Approach

Based on a base case leveraging WISE PLC's strong unit economics, we project robust financial performance from 2026-2030. The model assumes a 21% year-on-year customer growth from a base of 15.6 million users and a steady £150 ARPU, driving revenue from £2.83bn to £6.07bn—a 21% CAGR.

Critically, the model demonstrates the scalability of the platform, with gross margins of 61% efficiently converting to a stable EBIT margin of 21% throughout the period results in EBIT growing from £595m t £1.27bn.





Strong Material Upside

Our DCF analysis values WISE at an implied equity value of £13.5bn, a +17% premium to its current market cap of £11.5bn. This indicates the market is undervaluing the company's growth trajectory. The Valuation is driven by a 19% CAGR in EBIT and strong, growing free cash flow. The valuation is supported by a conservative WACC of 9.76% and a terminal growth rate of 2.0%.

The significant upside, coupled with WISE's scalable model and market leadership, presents a compelling investment opportunity

WISE PLC: Future Financial View

Core Growth Trajectory: WISE is expected to deliver a ~19% revenue CAGR over the medium term, driven by market share gains in the expansive cross-border payments market. This growth is underpinned by scalable, viral customer acquisition and a structural cost advantage that remains a significant barrier to competition.

Profitability & Cash Flow Outlook: The business model exhibits strong operating leverage. We project EBIT margins to be maintained at ~21%, translating into substantial growth in absolute profit. This will fuel a material acceleration in Free Cash Flow generation, which is forecast to reach over **£1.1bn** by 2030. This cash flow provides strategic optionality for M&A, share repurchases, or further investment in growth initiatives.

Capital Allocation & Balance Sheet: The future financial profile supports a robust, net-cash balance sheet. Management's priority will likely be reinvesting into high-return growth opportunities

Valuation Implication: This future state of higher scale, sustained profitability, and strong FCF generation is not reflected in the current multiple. As the market rewards this quality of earnings, we anticipate significant multiple expansion, aligning the share price with the fundamental value creation underway.

OPERATIONAL BUSINESS PLAN & PROPOSED VALUE CREATION STRATEGIES

Opportunities To Improve The Business Operationally

Personal Segment

Increase product adoption by bundling Wise Card, multi-currency account, and Assets into one seamless package. Wise can improve support with multilingual chatbots, 24/7 service, and quicker handling of disputes.

Business Segment (SMEs & Startups)

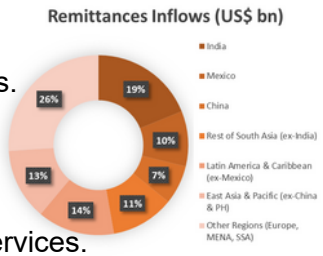
Wise can make onboarding easier and faster using AI for identity checks, reducing drop-offs.
Wise can connect its tools with accounting platforms like QuickBooks, Tally, and Zoho for smoother integration.

B2B / Wise Platform

Wise should offer extra APIs, like white-label dashboards for tracking payments and compliance.Wise could provide APIs that allow businesses to embed Wise's payment services directly into their own software, accounting tools, or custom dashboards.

Opportunities To Grow Topline

Geographic Expansion



India: Huge opportunity as the world's largest remittance receiver,especially in inbound flows.
Africa: Rapidly growing remittance market with very low fintech penetration.
LATAM: Rising cross-border payments driven by trade, remittances, and digital commerce.
US: Largest remittance and B2B payments market with strong SME adoption potential.
UK & Europe: Scope to strengthen leadership, possibly with a banking license to expand services.

New Products & Services

Embedded Lending For SMEs: Wise can offer small, quick loans to business customers using its own transaction data. This helps SMEs grow and adds a new revenue stream.
Subscription-based Pricing Bundle: Launch "Wise Premium" plans with perks like better rates, branded cards, and faster support for heavy users and businesses.
Banking License (UK): Wise is exploring a UK banking license but currently operates as an Electronic Money Institution (EMI).

Opportunities To Improve Margins

Economies of Scale

As Wise processes more than £145bn annually, growing volumes further will lower the average transaction cost per customer.

Cross-Border B2B Payments

E-commerce & Marketplaces: Wise can power global vendor payouts for marketplaces through its API.
Freelancers & Gig Workers: Wise can offer fast, low-cost cross-border payments for freelancers and gig workers.

Improving Company Valuation & Strategic Positioning

Banking Partnerships

Wise can lower middleman costs by getting better fee deals with partner banks, like its connection to Japan's Zengin system.

Strengthen Market Leadership

Wise can continue to build on its reputation for transparency by emphasizing mid-market rates and low fees. This would help Wise stand out from both traditional banks and newer fintech rivals, positioning it as the most trusted cross-border payments platform.

Enhance Financial Metrics

Wise can focus on expanding higher-margin offerings like Wise Business and Wise Platform, which deliver stronger returns per transaction compared to personal transfers. This approach can boost overall profitability and support a stronger market valuation.

DEAL STRUCTURE

Following our review of the proposed valuation and deal terms presented by management, we are comfortable that the implied enterprise value of $15.4 bn is broadly justified given the company's growth trajectory and fundamentals. That said, the proposed $2.5 bn equity cheque is not fully aligned with our investment mandate and return thresholds. Accordingly, we would recommend the following alternative deal structure: a leveraged buyout of a majority stake, inclusive of controlling voting rights, which would allow us to optimize the capital structure, enhance returns, and ensure strategic alignment while preserving operational flexibility for the company

Transaction Overview

Type: **Leveraged Buyout**

Equity Stake: Acquisition of 75% of equity, comprising Class B Shares and Preferred Stock

Valued at **29x** of LTM EBITDA D/E contribution: **60:40**

Control & Governance: PE sponsor to hold majority **all voting rights**, with **proportional board representation**.

Conditions: Subject to completion of due diligence, regulatory approvals, and customary closing conditions.

Investment Rationale:

This structure enhances returns for equity holders by maximizing leverage without breaching covenant thresholds. It staggers principal repayments to align with projected cash flows and includes PIK options on mezzanine debt to minimize near-term cash outflows. The proposal also ensures liquidity buffers for capex, working capital, and strategic initiatives.

Capital Sourcing:

Debt Financing (£4,933 million): The senior debt facilities consist of a £720 million Revolver provided by a syndicate of corporate banks, alongside a £1,430 million Term Loan B. The capital structure is further supported by £1,754 million in Second Lien Debt and £1,029 million in Mezzanine Debt, both provided by private credit funds.

Equity Contribution (£2,808 million): The financial sponsor is contributing £2,808 million in Sponsor Equity

Key Terms of Acquisition and Financing Structure

Governance and Voting Rights:

The acquiring entity will hold **100% of the voting rights** within the company through a dual-class share structure or a shareholders' agreement.

This ensures the sponsor has absolute control over all board appointments, major operational decisions, capital expenditures, and corporate strategy, which is non-negotiable for the effective execution of the value-creation plan and the protection of the equity investment.

Equity Ownership:

The sponsor will hold a **75% fully-diluted economic ownership** stake in the company post-acquisition.

The remaining 25% will be structured as non-voting, minority equity, potentially reserved for existing management as part of a long-term incentive plan to ensure alignment.

Cash Flow Waterfall and Debt Service:

The legal documentation for the acquisition and debt financing (Credit Agreement) will explicitly institute a **permitted payments waterfall**.

This covenant structure will legally prioritize the company's free cash flow, mandating its use for:

a. **Debt Service:** Fulfilling all scheduled interest and principal obligations for the senior secured debt (Revolver and Term Loan B).
b. **Obligations to Junior Lenders:** Making any required payments to second lien and mezzanine debt holders.
c. **Reinvestment:** Funding agreed-upon CAPEX and working capital needs for growth.
d. **Trapped Cash:** Any excess cash flow will be subject to mandatory sweep mechanisms to pay down debt ahead of schedule, further strengthening the balance sheet and enhancing equity returns.

RETURN ANALYSIS

Financial Resilience and Cash Flow Strength

In evaluating Wise plc, we have placed particular emphasis on the company's ability to generate sustainable cash flows and support a leveraged capital structure. Our conviction is that this business, with its resilient unit economics, high-margin profile, and strong free cash generation, is exceptionally well-suited for a leveraged buyout. **Wise delivered revenues of £1.65 billion in FY2025, with net income of £416.7 million and a pre-tax margin of 21%.** Free cash flow of nearly £487 million in the prior year underscores the company's ability to consistently convert earnings into liquidity, a critical consideration when we assess debt serviceability under an LBO framework.

Capital Structure and Transaction Design

The proposed capitalisation of £7.0 billion has been structured with discipline and intent. We are funding 60% of the transaction with debt and 40% with equity, **equating to £7.02 billion in debt instruments and £2.81 billion of sponsor equity**. The structure is **diversified across term loans, second lien, and mezzanine tranches**, supplemented by a revolving facility that provides liquidity headroom and flexibility for bolt-on growth. By layering the debt intelligently and preserving a healthy equity cushion, we are not only optimising capital efficiency but also ensuring resilience in varying market conditions.

Return Expectations and Value Creation

On this base, we are underwriting to a five-year internal rate of return **(IRR) of approximately 23 percent, with a multiple on invested capital (MOIC) of 2.8x.** In practical terms, this means our equity commitment of £2.8 billion is expected to grow to nearly £7.8 billion at exit, effectively tripling our investment within the hold period. The drivers of this return are threefold. First, consistent top-line growth of 12–15 percent per year, underpinned by **Wise's expanding customer base, SME penetration, and the rollout of new payment solutions**. Second, continued margin enhancement through technology automation and disciplined customer acquisition, which translates incremental revenue directly into cash flow. Third, systematic deleveraging as recurring free cash flows are used to amortise debt, magnifying equity value creation.

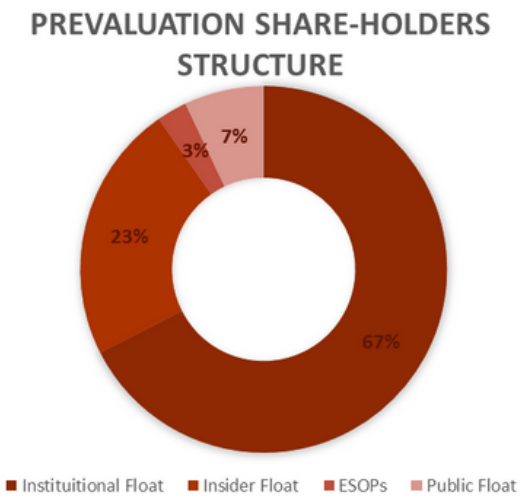
Exit Strategy and Valuation Potential

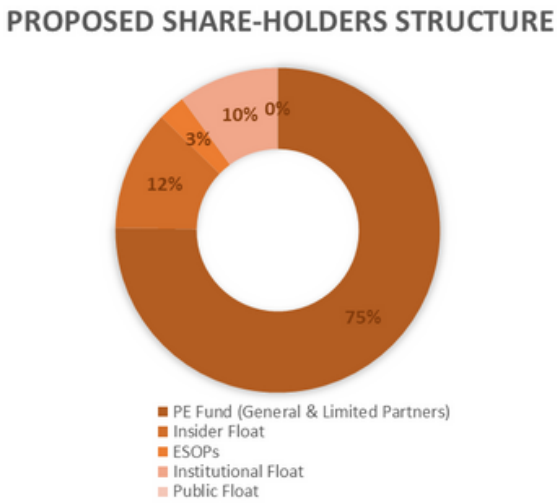
We are confident that this returns profile is not only achievable but conservative. Wise already operates with margins superior to its peers, and the removal of public float alongside a clean one-share-one-vote governance framework will materially enhance investor perception at exit. Whether through a re-IPO in a reformed capital market setting or a strategic sale to a global financial institution seeking scale in cross-border payments, we see a credible path to an exit valuation in the £15–16 billion range.

Governance Reset

Ultimately, what gives us conviction is the interplay between **Wise's robust operating fundamentals and the governance reset that our transaction** will enable. By taking the company private, eliminating the distortions of dual-class shares, and consolidating control within our fund, we create the conditions for strategic clarity and operational discipline. The returns are not projected on financial engineering alone they rest on a foundation of growth, efficiency, and governance reform. This is precisely the type of investment profile that delivers superior private equity outcomes, and with Wise, we believe we have an opportunity to realise those outcomes at scale.

SHAREHOLDING STRUCTURE





Governance Challenges

Wise's governance structure has outlived its usefulness. The dual-class system, with Class B shares carrying nine votes each, gives founders disproportionate control relative to their economic stake. While justifiable in the early stages, it now creates structural inefficiency, limits valuation, and leaves institutional investors disenfranchised despite holding the majority of equity value.

Impact on Shareholder Value

This imbalance has weakened institutional confidence and constrained Wise's ability to reach its full market potential. Employee ownership remains marginal and ineffective as a retention tool in a competitive fintech talent market. As a listed entity, Wise also faces market volatility and short-term reporting pressures that distract from long-term execution and intensify scrutiny around governance.

Proposed Structural Reset

We propose a reset of the shareholder framework alongside a leveraged buyout, acquiring a 75 percent controlling stake. All shares will be harmonised into a single ordinary class, eliminating the dual-class imbalance and aligning ownership with control. With majority authority, we can provide clear strategic direction and disciplined capital allocation.

Management and Employee Incentives

Management will retain a 12 percent stake, ensuring alignment with long-term value creation while avoiding excessive influence. To reinforce broader engagement, we will introduce an employee stock ownership plan structured as preferred equity, offering downside protection alongside upside participation. This design will strengthen retention, attract talent in a competitive market, and foster a culture of ownership that supports Wise's innovation and growth.

Institutional Continuity and Privatization

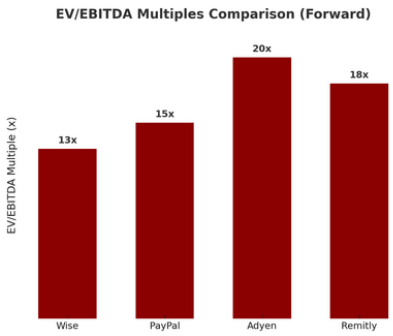
Select institutional investors will retain a 10 percent position, ensuring continuity and external validation. We will also remove the public float and take Wise private, freeing the company from quarterly reporting cycles and market-driven pressures, allowing full focus on long-term value creation.

RISKS AND MITIGATIONS

Risk	Description	Mitigation Strategy
High Leverage	Heavy debt load creates fixed servicing obligations; vulnerable to interest rate hikes or cash flow volatility.	Stress-test downside scenarios; negotiate flexible covenants (cash sweep, delayed amortization); maintain liquidity buffer; explore refinancing opportunities.
Overvaluation /Entry Price Risk	Paying premium for 75% control may reduce returns if multiples compress or growth underperforms.	Use contingent earn-outs or seller rollover; plan multiple exit routes (IPO, strategic sale); drive operational efficiencies to support valuation resilience.
Governance & Minority Conflict	90% voting rights may trigger conflict with minority shareholders, legal disputes, or reputational issues.	Establish transparent governance; include minority protections (tag/drag rights); maintain independent board oversight.
Exit Risk (5-year horizon)	Market downturn or lower multiples at exit may reduce IRR and proceeds.	Diversify exit strategies (IPO, strategic buyer, secondary); time exit with favorable cycles; enhance EBITDA to offset multiple compression.
Operational Execution	Pressure to meet debt obligations may force short-term focus, risking long-term growth strategy.	Define clear value-creation plan; align management incentives with 5-year goals; maintain flexibility to balance growth vs. deleveraging.
Regulatory & Macro Risks	Changes in payments regulation, interest rates, or global economic slowdown could impair returns.	Build conservative assumptions into base case; hedge interest rate exposure; diversify revenue across products and regions.
Reputation & ESG Impact	Leveraged buyout may be perceived negatively by regulators, employees, or customers.	Position deal as strategic growth partnership; reinvest in product innovation and compliance; maintain ESG commitments and stakeholder

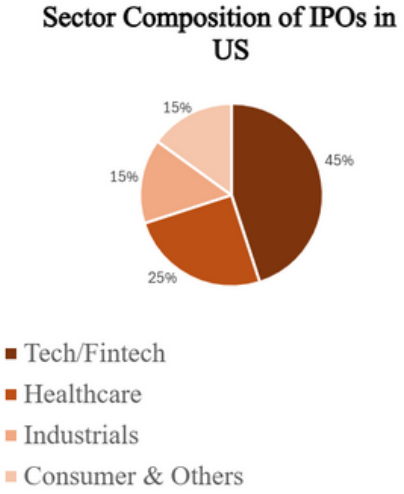
HIGH SEVERITY MEDIUM SEVERITY LOW SEVERITY

EXIT STRATEGY



IPO through US markets

A US IPO through a dual listing on NASDAQ alongside London offers the most value maximizing exit for Wise. The US public markets assign higher valuation multiples to high-growth fintech companies compared to the London Stock Exchange. Wise currently trades at 12–14x forward EV/EBITDA, while peers such as Adyen, PayPal, and Remitly trade in the 15–20x range. Listing in the US unlocks access to a larger and more growth-oriented investor base that rewards both scale and profitability.

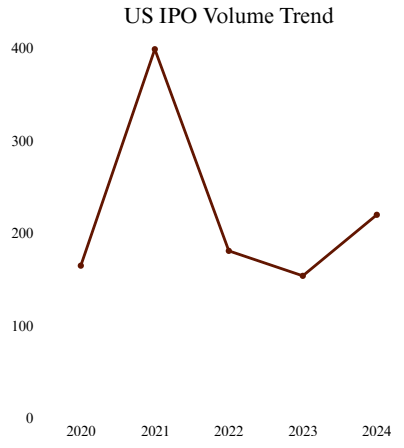


Timing and expected returns

Wise PLC must expand its B2B and Platform revenues, grow its international footprint, and improve EBITDA margins toward 25 percent. By exit, the business will have a proven record of consistent growth and profitability, positioning it for a strong re-rating in US markets. Assuming a 5 - 7 year exit and 20 percent annual revenue growth and margin expansion, the investment can deliver 2.5–3.0x MOIC and 20–25 percent IRR. A US IPO provides flexibility to exit through staged sell-downs, enabling the private equity fund to maximize value while mitigating liquidity risk.

Risks and Mitigations

Competition from players like Revolut, PayPal and Remitly could put pressure on fees, but Wise's high EV/EBITDA multiple, net promoter score above 70 and transparent cost advantage create strong customer stickiness. Market volatility and shifting liquidity cycles could temporarily close IPO or capital-raising windows, though this can be mitigated by strong free cash flow, secondary sale options and diversified funding routes. Regulatory risks across 160+ jurisdictions remain a challenge, yet Wise's early licensing head start, established compliance infrastructure and ongoing investment in risk management provide resilience.



Why not a Strategic or Secondary Sale

A strategic sale of Wise to a global payments company such as Visa, Mastercard, PayPal, or a large international bank is feasible, given the strong synergies in regulatory licenses, technology, and customer base. However, such a transaction would face significant hurdles, as approvals across 160+ jurisdictions and potential antitrust scrutiny could delay or even block the deal. Moreover, private equity investors may forgo the valuation upside available in public markets, where fintech companies are typically rewarded with higher growth multiples. A secondary sale to another private equity fund or a sovereign wealth fund represents a reliable fallback option, as it provides liquidity if IPO markets are unfavorable. But this is usually a fallback option, since valuations in secondary sales tend to be lower than those achieved through IPO exits.

CONCLUSION

The global fintech landscape is undergoing rapid transformation, driven by the rise of digital payments, cross-border trade, and accelerated adoption of multi-currency solutions. With the **addressable cross-border payments market exceeding $150 trillion annually and technology-enabled volumes expanding at 15–20 percent per year**, the sector is experiencing secular growth supported by structural shifts in global commerce and consumer behavior. **Traditional banks remain constrained by legacy infrastructure** and regulatory complexity, leaving space for agile, technology-driven providers to capture disproportionate market share. Against this backdrop, Wise has established itself as one of the most credible challengers, combining cost efficiency with a trusted brand and a rapidly expanding customer base.

Wise plc's evolution reflects both scale and operational strength. **Revenues have grown from £421 million in FY21 to £1.65 billion in FY25, supported by a diversified business model spanning personal transfers, SME accounts, and Wise Platform.** Partnerships with global banks and fintechs such as UniCredit, Raiffeisen, Standard Chartered, Itaú, Morgan Stanley, and Google not only extend distribution reach but also validate Wise's institutional relevance. The company's proprietary infrastructure, based on local liquidity pools, **enables faster settlement and materially lower fees than banks and legacy providers,** creating a durable cost advantage. With over 15.6 million customers and more than £145 billion in annual transaction volumes, Wise has secured a leading position in a competitive industry.

From a financial sponsor's standpoint, **Wise offers a unique blend of profitability, scalability, and resilience**. EBITDA margins of 33 percent, ROE of 32.6 percent, and **free cash flow of £487 million** demonstrate strong earnings conversion and capital discipline. These metrics, combined with a net cash balance sheet, provide the foundation for a leveraged buyout. The proposed **75 percent stake under a 60:40 debt–equity mix is projected to deliver an IRR of ~23 percent and a MOIC of 2.8x over five years.** Crucially, value creation is expected to come from three levers: continued topline expansion in core segments, further margin gains from operating scale, and systematic deleveraging through recurring cash flows.

Risks cannot be ignored. **Regulatory complexity across 160+ jurisdictions, intensifying competition from players like Revolut, PayPal, and Remitly, and the pressures of elevated leverage all pose challenges**. However, Wise's early licensing lead, diversified product mix, and robust compliance infrastructure mitigate much of this exposure. Moreover, the proposed governance reset, removing the dual-class structure and taking the company private, will simplify decision-making, align ownership with control, and restore investor confidence. These reforms, combined with management and employee alignment through rollover stakes and stock ownership plans, will strengthen Wise's long-term operational backbone.

Looking ahead, **the most credible exit pathway remains a US IPO**, where high-growth fintechs command structurally higher valuation multiples than in London. Assuming execution on international expansion, platform penetration, and margin improvement, Wise has the potential to achieve a re-rating in the £15–16 billion range. **A dual listing on NASDAQ alongside London would provide both liquidity and visibility, allowing staged exits and maximizing sponsor returns.**

In conclusion, Wise represents a compelling private equity opportunity, a profitable and scalable market leader positioned in a structurally expanding sector, with clear avenues for growth, credible risk mitigations, and a premium exit strategy. The combination of industry tailwinds, company-specific advantages, and governance reforms provides a strong foundation for sustained value creation.